

24SMCV04081 24SMCV04081

County: los-angeles

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Case Number: 24SMCV04081 Hearing Date: July 8, 2026 Dept: 205

Superior Court
of California

County of Los
Angeles –Central District

Beverly
Hills Courthouse / Department 205

PETER STEINLAUF, et al.,

Plaintiffs,

v.

RT ABBOTT CONSTRUCTION, INC., et
al.,

Defendants.

Case No.:
24SMCV04081

Hearing Date: July 8, 2026

Trial Date:
May 17, 2027

[TENTATIVE] RULING RE:

DEFENDANT CALIFORNIA ENERGY DESIGNS, INC.'S MOTION FOR DETERMINATION OF
GOOD FAITH SETTLEMENT PURSUANT TO CIVIL CODE SECTION 877.6

MOVING PARTY: Defendant California Energy Designs, Inc.

RESPONDING

PARTY: None.

BACKGROUND

On August

22, 2024, Plaintiffs Peter Steinlauf and Elizabeth Steinlauf (collectively, "Plaintiffs") filed this action against Defendants R T Abbott Construction, Inc., Mylo Marq, Inc., Clearflo Pools, Inc., Cirocco Plastering, Crestview Landscape, Crystal Clear Glass, Inc., Diamond Landscaping, Chris Doman Enterprises, Inc., Hakwood, Inc., J.V McBurney Concrete Construction, Inc., K.J.E Sheet Metal, Inc., Otiima USA, PJD Marble & Granite, Inc., Pierre Landscape, Inc., Premier Plumbing Concepts, Inc., Silverman Roofing & Construction, Inc., SNL Electric, Inc., Titoni Built, West Coast Plumbing, Westchester Glass, Inc., and Does 1 through 100.

On August

4, 2025, Plaintiffs filed the operative first amended complaint (the "FAC"), alleging causes of action for (1) breach of contract, (2) negligence, (3) breach of implied warranty, (4) intentional misrepresentation (fraud), (5) negligent misrepresentation, and (6) strict products liability. The causes of action arise out of alleged defective, substandard construction performed at Plaintiffs' property by Defendants.

On May 22,

2026, Defendant California Energy Designs, Inc. ("Defendant") filed the instant motion for determination of good faith settlement. No opposition was filed.

LEGAL STANDARD

In any action in which two or more defendants are joint tortfeasors, a "good faith" settlement by one of these defendants with the plaintiff bars the other defendants from seeking contribution from the settling

defendant. (Code Civ. Proc., § 877.) The settlement shall also “reduce the claims against the others” by the amount stipulated in the settlement. (Id., subd. (a).)

Under Code of Civil Procedure, Section 877.6, subdivision (a):

a settling party may give notice of settlement to all parties and to the court, together with an application for determination of good faith settlement and a proposed order. The application shall indicate the settling parties, and the basis, terms, and amount of the settlement. The notice, application, and proposed order shall be given by certified mail, return receipt requested, or by personal service. Proof of service shall be filed with the court. Within 25 days of the mailing of the notice, application, and proposed order, or within 20 days of personal service, a nonsettling party may file a notice of motion to contest the good faith of the settlement. If none of the nonsettling parties files a motion within 25 days of mailing of the notice, application, and proposed order, or within 20 days of personal service, the court may approve the settlement.

(Code Civ. Proc., § 877.6, subd. (a)(2).)

Once the Court determines the settlement was made in good faith, the other joint tortfeasors are barred from pursuing further claims against the settling tortfeasors for contribution. (Code Civ. Proc., § 877.6, subd. (c).)

The policies behind Sections 877 and 877.6 are, “(1) The equitable sharing of costs among the parties at fault and (2) the encouragement of settlements.” (Erreca's v. Superior Court (1993) 19 Cal.App.4th 1475, 1487.) The trial court is given wide discretion to determine whether the settlement was in “good faith,” and its decision is reviewed for the existence of “substantial evidence.” (Hellam v. Crane Co. (2015) 239 Cal.App.4th 851, 860.)

To determine whether a settlement is in “good faith,” courts rely on the

factors articulated by the Supreme Court in Tech-Bilt, Inc. v. Woodward-Clyde & Associates. These factors include, but are not limited to:

a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. (Citation.) Finally, practical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement.

(Tech-Bilt, Inc. v. Woodward-Clyde & Associates (1985)
38 Cal.3d 488, 499.)

An unopposed motion for determination of good faith of settlement need not contain a full and complete discussion of the Tech-Bilt factors by declaration or affidavit; rather, a bare bones motion setting forth the grounds of good faith and a declaration containing a brief background of the case is sufficient. (City of Grand Terrace v. Superior Court (1987) 192 Cal.App.3d 1251, 1261.)

DISCUSSION

The pertinent terms of the settlement between Defendant and Plaintiffs are: (1) Plaintiffs are to waive and release any and all claims against Defendant, which Plaintiffs now hold, has or claim to have, including a waiver of Civil Code section 1542 and dismissal of their pending action with prejudice against Defendant; (2) Defendant and its insurer will pay \$49,999.00 to Plaintiffs; (3) This is a compromise of a disputed claim as to liability, causation, nature, and extent of damages in which Defendant denies liability; and (4) The settlement is contingent on a determination pursuant to Code of Civil Procedure section 877.6 and the entry of a final order pursuant to Code of Civil Procedure section 877 barring any and all cross-complaints or separate and independent actions for indemnity, contribution or comparative fault against Defendant. (Dindral-Pamidi Decl., ¶ 5.)

Here,

Plaintiffs served a settlement offer in the form of a statutory offer to compromise pursuant to California Code of Civil Procedure section 998. (Dindral-Pamidi Decl., ¶ 4.) The terms of this settlement are proportionate and reasonable to Defendant's liability, as Defendant is one of over twenty named defendants potentially liable under the FAC. (See FAC, ¶¶ 2-22.) Defendant entered into a contract with Plaintiffs for mechanical engineering plans and designs for the property, but Plaintiffs allege Defendant failed to design those plans in a workmanlike manner. (FAC, ¶¶ 28, 48.) Therefore, the terms of the settlement agreement mirror the level of involvement and relationship between Plaintiffs and Defendant regarding the defective construction on Plaintiffs' property.

There

is no evidence of fraud, collusion, or an intent to injure Plaintiffs or Defendant. The settlement agreement requests significantly less damages from Defendant than the \$15,000,000.00 requested against all named defendants in the FAC. The settlement terms do not mention any unfair demands for attorneys' fees or costs. Further, the parties met collectively to prepare the written settlement agreement reflecting the principal settlement terms, demonstrating good faith. (Dindral-Pamidi Decl., ¶ 5.)

In

summary, the terms of the settlement are compliant with the factors set forth in Tech-Bilt, Inc.

v. Woodward-Clyde & Associates. The fairness of the terms indicate there was no collusion or bad faith. Therefore, the motion should be granted.

CONCLUSION

For the

foregoing reasons, the Court GRANTS the motion for determination of good faith settlement.

Dated: July 8, 2026

Edward B. Moreton, Jr.

Judge of the Superior Court